

Planning, Programming, Budgeting and Execution (PPBE)

TOPIC LEARNING OBJECTIVES

Upon successful completion of this topic, the student will be able to:

1. Identify the basic flow of the financial management process, to include cost analysis, the Planning, Programming, Budgeting and Execution (PPBE) Process, Congressional enactment, and program execution.
2. Recognize the role of the PPBE process in acquisition management.
3. Identify the phases, associated products, and timeframes of the PPBE process.
4. Relate the following building blocks of the Future Years Defense Program (FYDP) to the PPBE process: Major Program (MP); and Program Element (PE).
5. Identify the key events in the planning phase and recognize who prepares, reviews, and signs the Defense Planning Guidance (DPG).
6. Identify the key events in the programming phase and recognize who prepares, reviews, and signs the Program Objective Memorandum (POM) and Program Decision Memoranda (PDM).
7. Recognize the participants and processes of Navy POM development.
8. Identify the key events in the budgeting phase and recognize who prepares, reviews, and signs the Budget Estimate Submission (BES), Program Budget Decisions (PBDs), and who generates reclamas.

STUDENT PREPARATION

Student Support Material

1. WarU PPBE Platinum Card

Primary References

1. DoD 7000.14-R Financial Management Regulation https://comptroller.defense.gov/fmr/
2. Navy Planning, Programming, Budgeting, and Execution, RAND Corporation, 2016

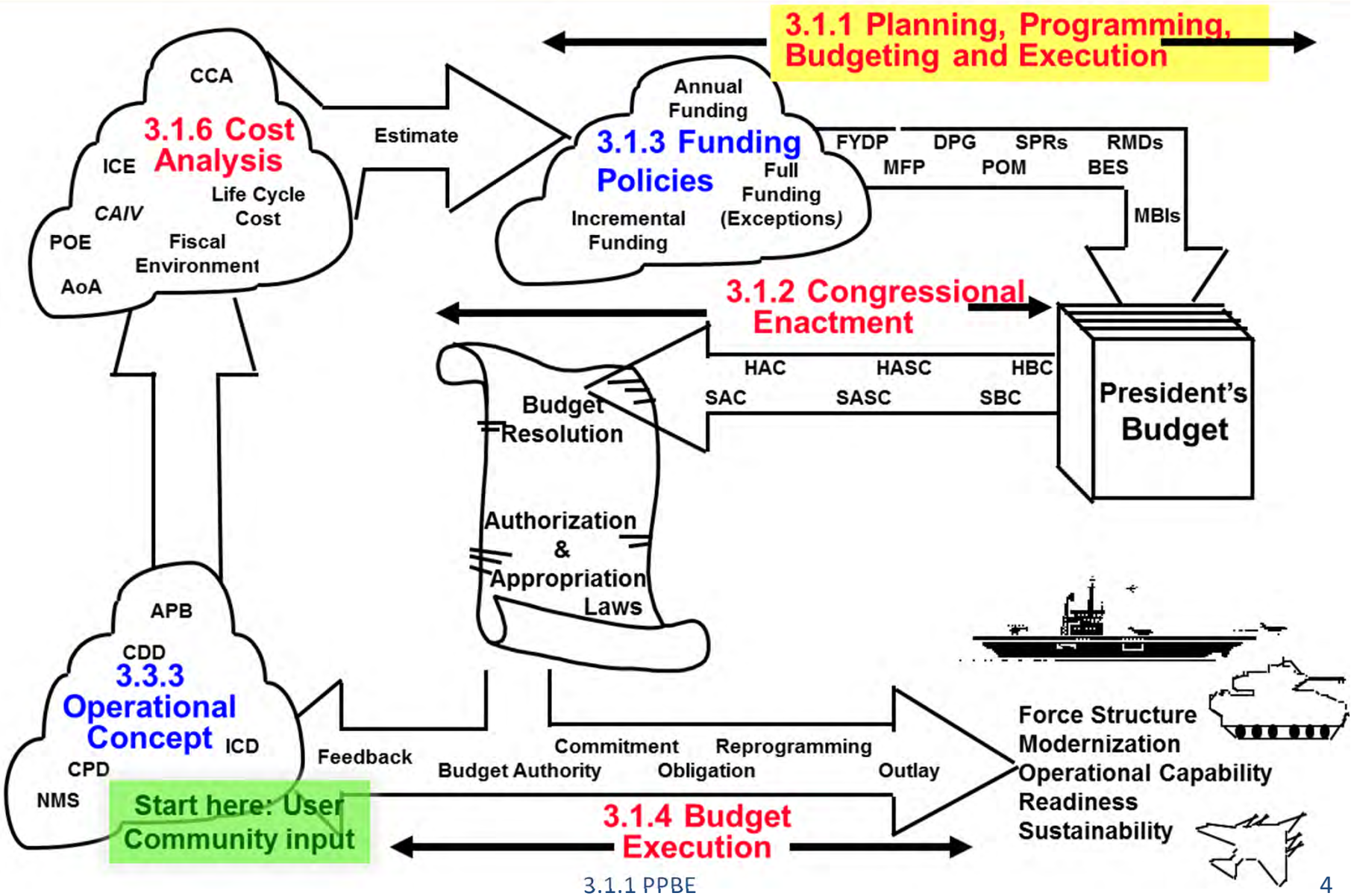
Additional References

1. http://comptroller.defense.gov/Home.aspx
2. WarU BFM 0050 Planning, Programming, Budgeting and Execution
3. DoDD 7045.14, PPBE Process, January 25, 2013 (Change 1 August 29, 2017)

Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

The Big Picture



Role of the PPBE process

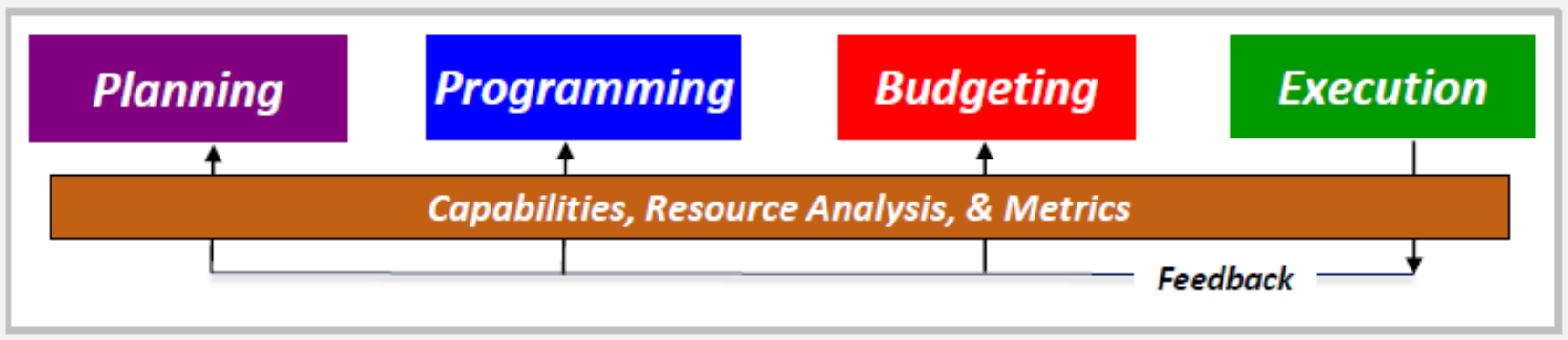
- DoW uses the PPBE process to identify the fiscal needs of the services and decide how to allocate resources
  - Annual budget of >$1 Trillion
  - 3 million Active Duty and Civilian employees
- A rational system for balancing
  - Requirements competing for limited funds
  - Internal (DoW) and External (OMB, Congress) priorities
- The end result of the PPBE process is the DoW portion of the President's Budget





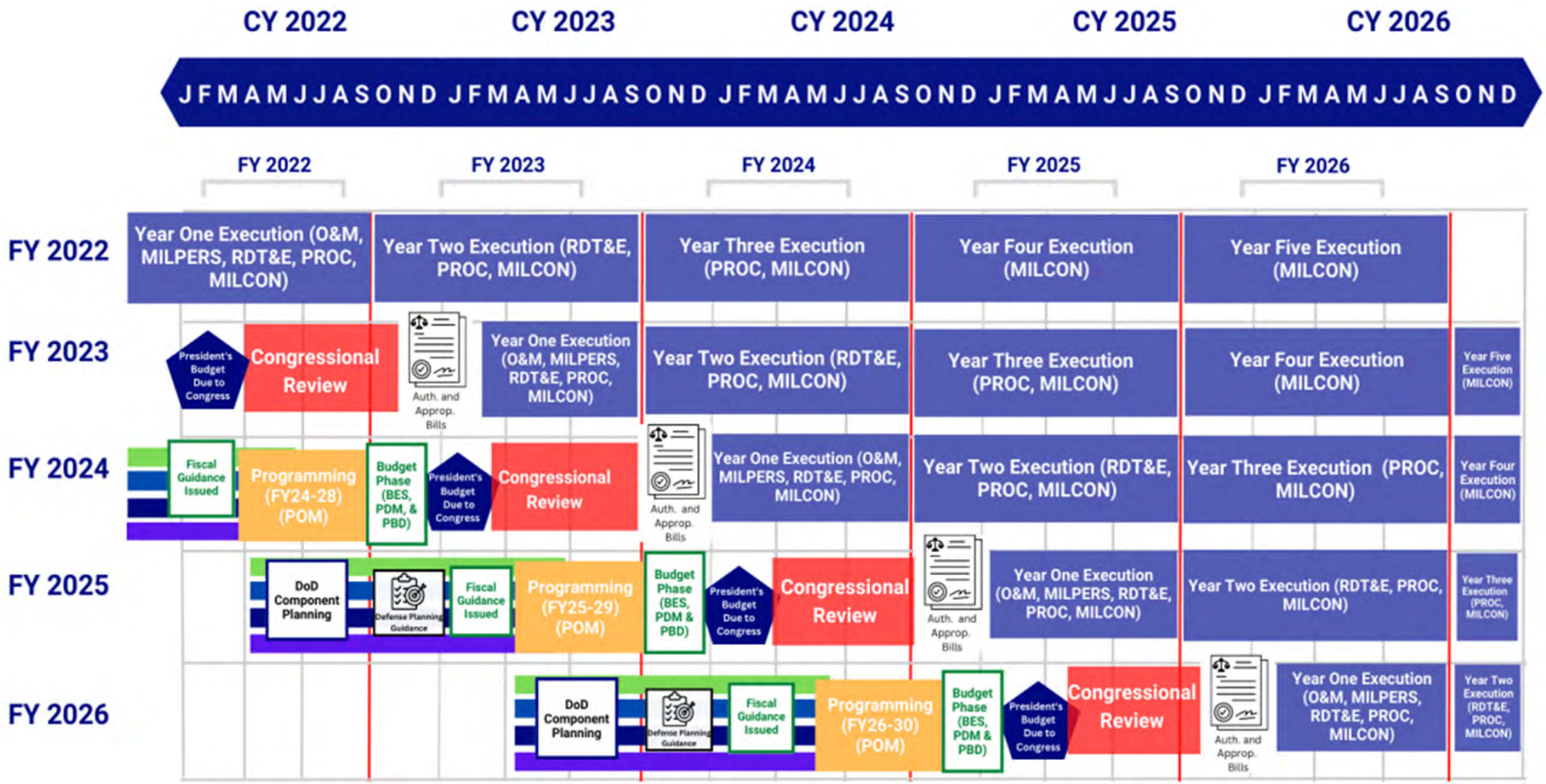
PPBE Overview

- ***Planning***: predicting and describing the most likely future strategic environment and defining the military capabilities it requires
- ***Programming***:
  - Resource allocation: assigning assets to meet identified missions according to established priorities
  - Program integration: identifying/analyzing mission shortfalls and duplications and suggesting alternatives for minimizing or eliminating them
- ***Budgeting***: producing an annual budget for presentation to Congress, linking missions to requested funding
- ***Execution***: operate in the real world; make adjustments



PPBE Timeline

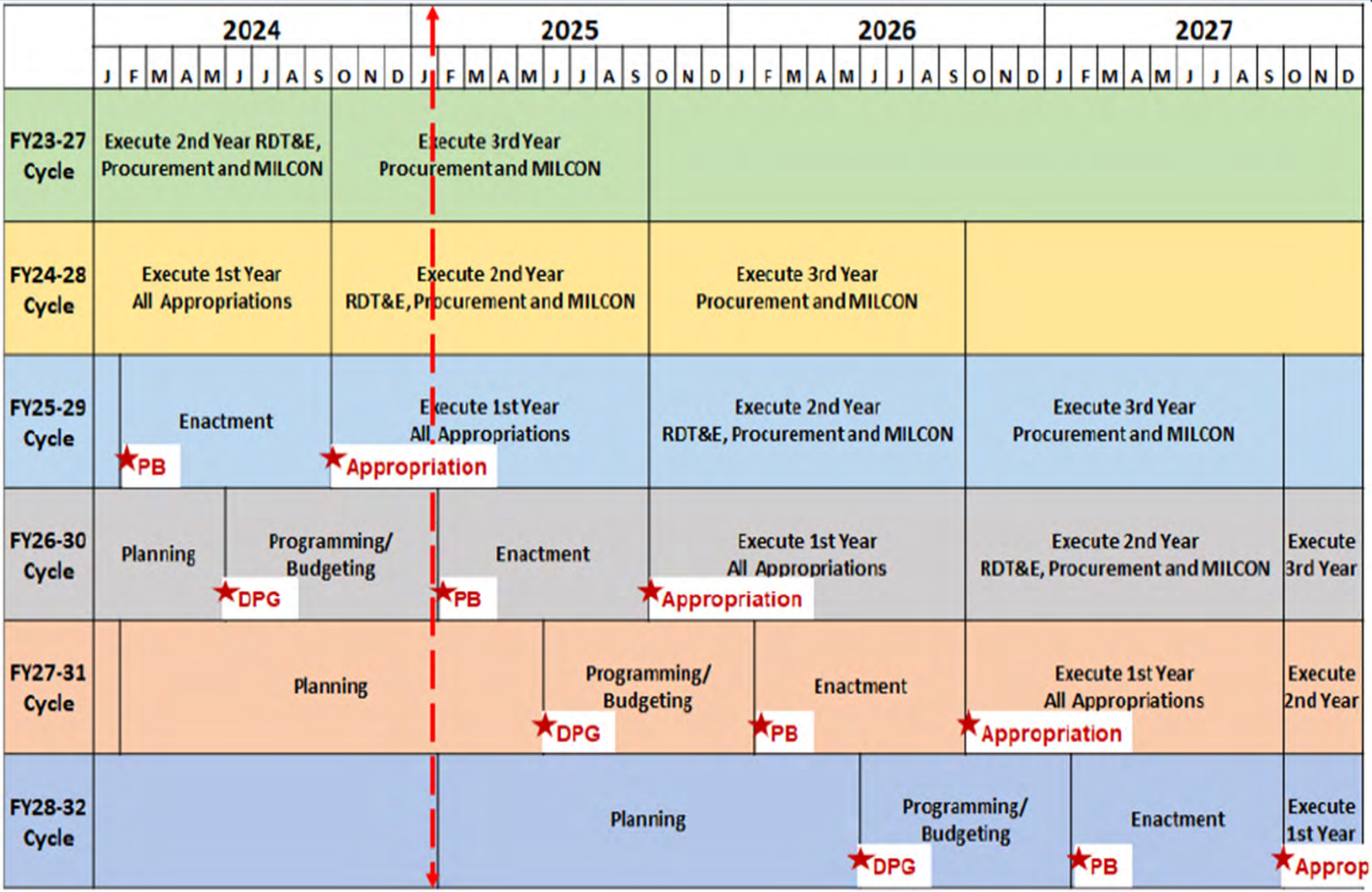
- Calendar-driven process: need to view required actions, events, and decisions along a timeline that accounts for multiple fiscal and calendar years



PPBE and the WAS

- PPBE is ***calendar-driven*** process, while the Warfighting Acquisition System (WAS) is an ***event-driven process***. Once a program is initiated, resources allocated through PPBE may impact a program's execution plans in WAS

Timeframes of the Navy PPBE process



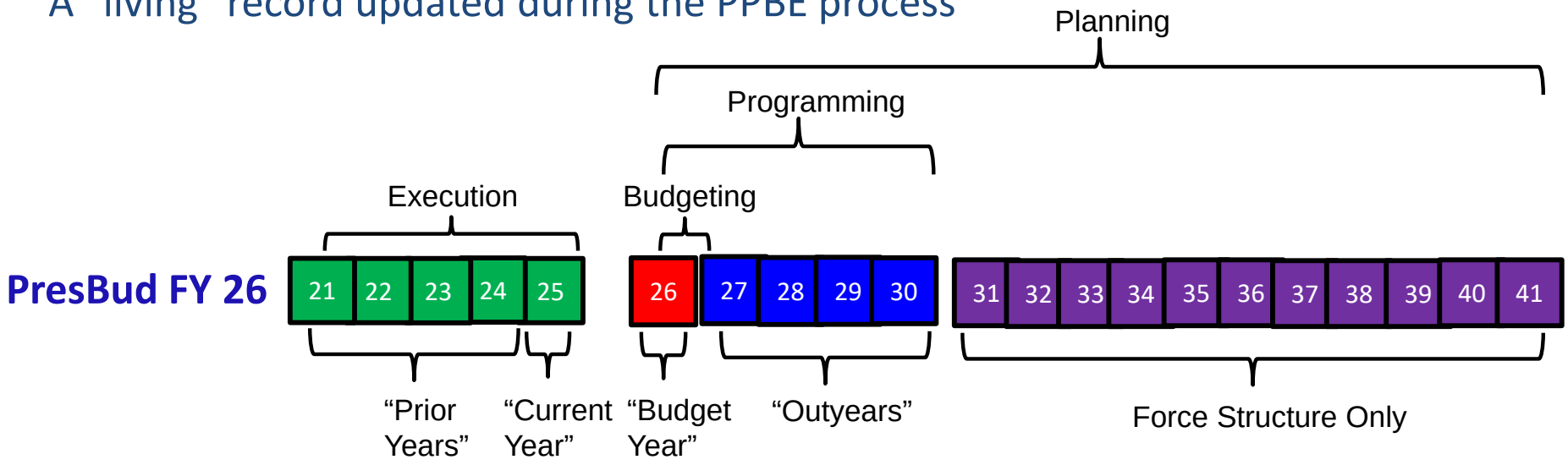
Source: WarU Platinum Card JAN2025

Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

Future Year Defense Program (FYDP)

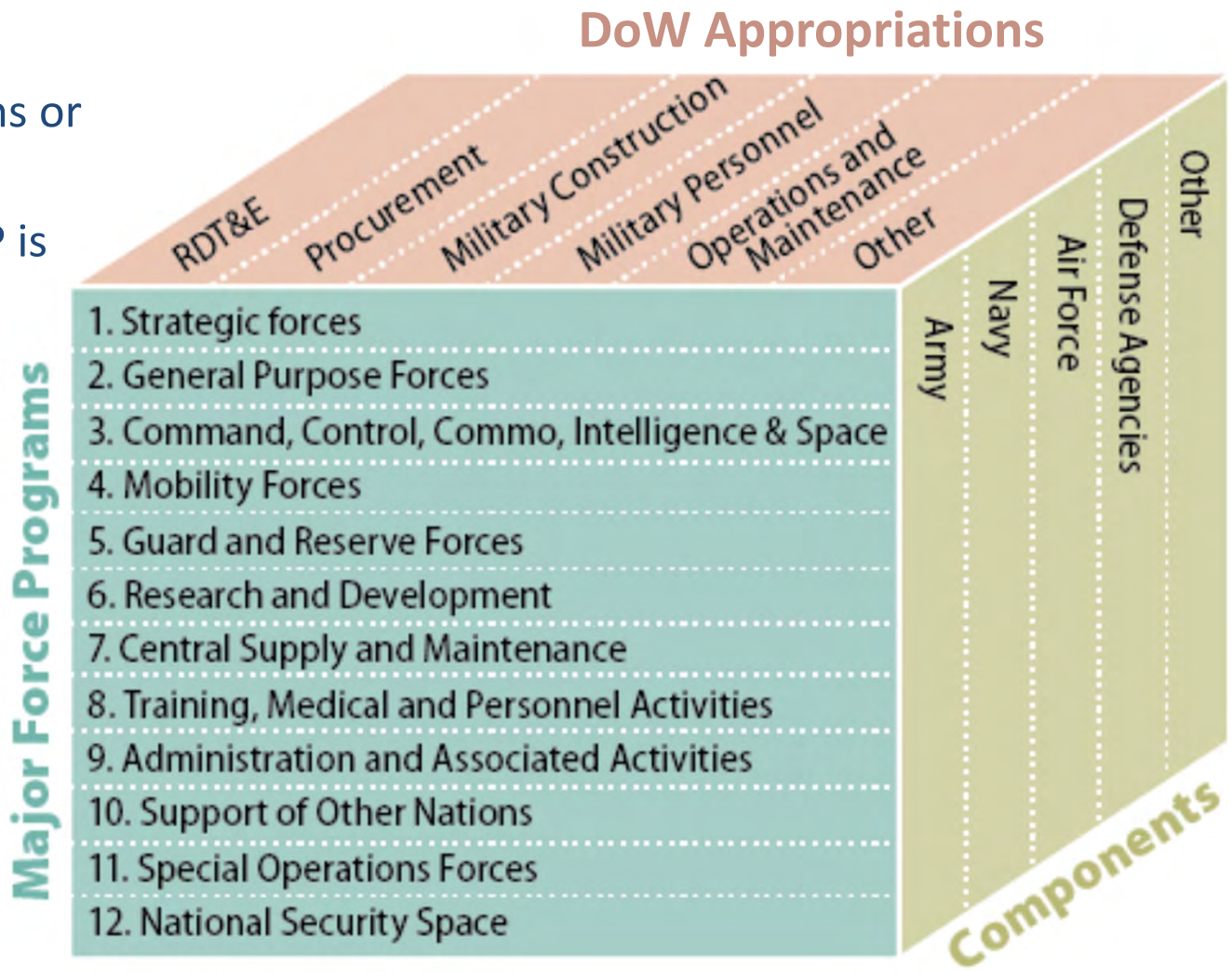
- DoW's internal database that is used to track the department's resource allocations
  - DoN's access-controlled database is the Navy Program Budget Information System (PBIS)
  - Projects DOW funding, manpower, and force structure needs over a ***five-year period***
- Contains Prior Year (PY), Current Year (CY), Budget Year (BY) + 4 Out-Years (POM) + additional years for force structure only
- A "living" record updated during the PPBE process



The primary purpose of the FYDP is to track DoW funds, force structure, and personnel strength throughout the PPBE process

FYDP Structure

- Allows users to identify, sort, and display DoW plans or programs by resource
- Every resource in the FYDP is categorized across 3 dimensions/categories:
  - Major Force Program
  - Appropriation
  - Component/Agency



FYDP Structure: Major Force Programs

- The FYDP organizes the data into 12 different Major Force Programs (MFPs)
- MFPs provide a:
  - ***Macro-level reflection of resources necessary to achieve DoW's force missions or support missions***
- Six MFPs are considered combat force programs (*) and six are considered support programs

1. Strategic forces *
2. General Purpose Forces *
3. Command, Control, Commo, Intelligence & Space *
4. Mobility Forces *
5. Guard and Reserve Forces *
6. Research and Development
7. Central Supply and Maintenance
8. Training, Medical and Personnel Activities
9. Administration and Associated Activities
10. Support of Other Nations
11. Special Operations Forces *
12. National Security Space

FYDP Structure: Appropriations

- Appropriation categories are the major funding classes by which Congress provides funds for all Federal agencies including DoW



FYDP Structure: Component / Agency

- The FYDP tracks funds for each of the three military services and other DoW agencies that request funding through the DoW PPBE process
- Each data set may contain funding from different appropriation categories and different MFPs

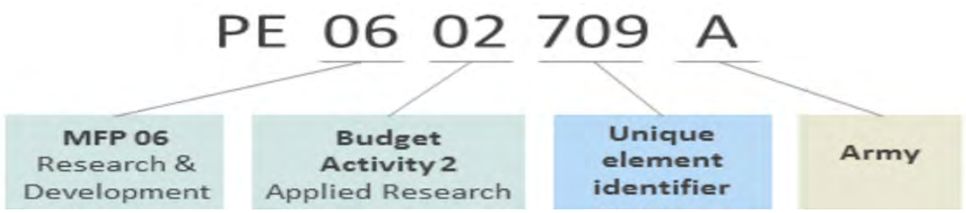


FYDP Structure: Program Elements

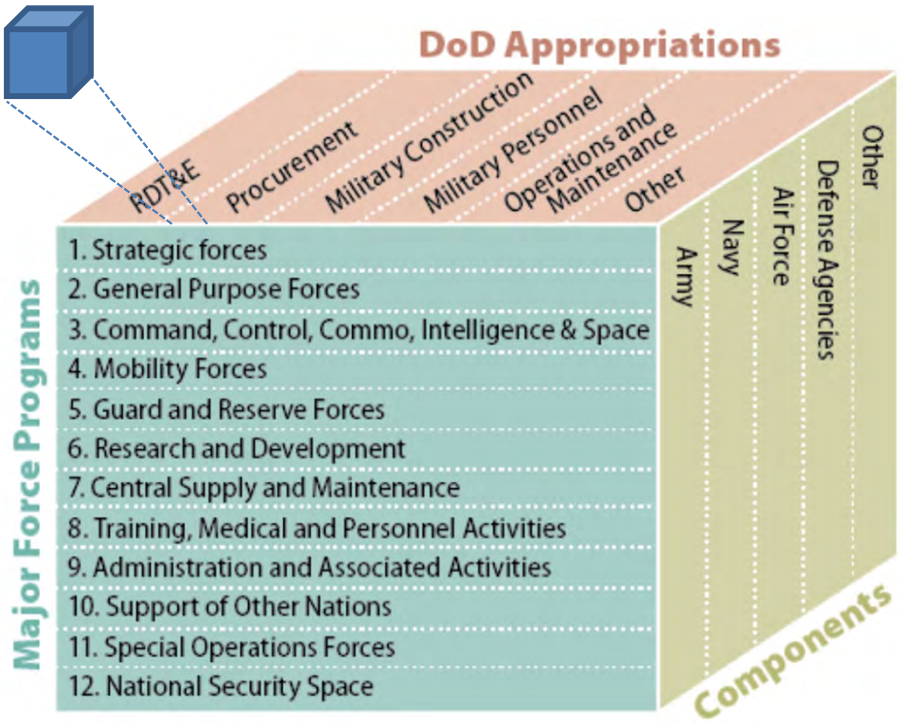
- Resources are assigned to a MFP using a unique program element (PE) code
  - 12 MFPs include thousands of PEs
- Each PE is a unique alphanumeric codes used to track and identify resources
  - PEs enable a user to identify allocations such as the total resources assigned to a program, the weapon systems and support systems within a program
  - As narrow as a specific platform (i.e., Navy F/A 18 squadron)
  - As broad as Air Force long range strategic planning
  - Single PE may encompass funding from several appropriations
    - e.g., PE for a weapon systems may include Procurement funds to purchase new subsystems and Operations and Maintenance (O&M) to maintain the fielded subsystems

PEs enable identification of allocations to programs and support systems

FYDP Structure: Program Elements



Program Element

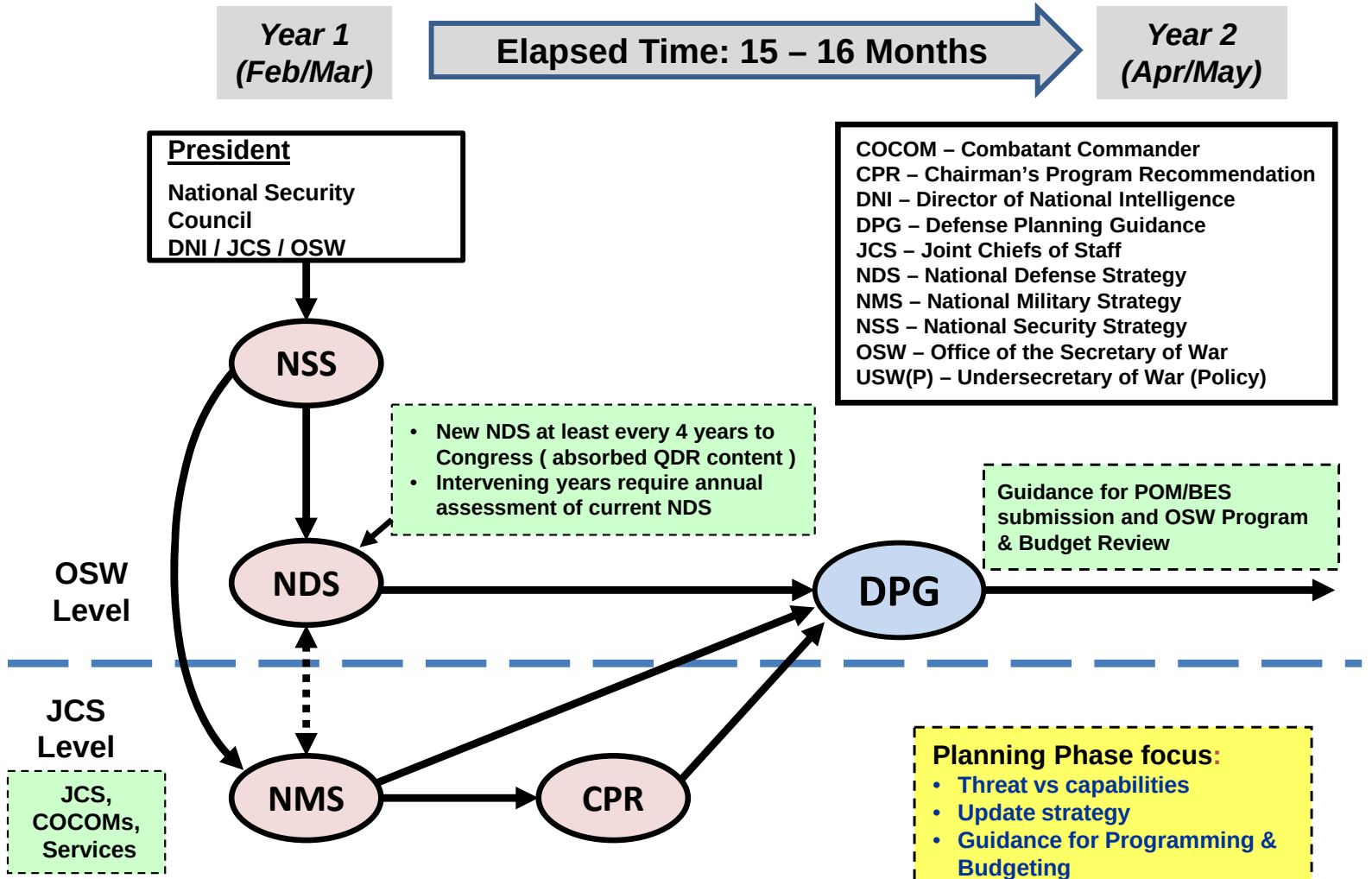


Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

Planning Phase

PPBE - PLANNING - LED BY USD (P)



Planning Phase Key Documents

- Chairman's Program Recommendation (CPR)
  - Chairman of the Joint Chiefs of Staff (CJCS) coordinates with Joint Requirements Oversight Council (JROC) and COCOMs to identify priorities for input into the Defense Planning Guidance (DPG)
  - Focus is on warfighting areas (strike, mine warfare, etc.)
  - ***Signed by CJCS***

- Defense Planning Guidance (DPG)
  - Direction on force structure and resource priorities to execute the strategy
  - Drafted by the USD (Policy), ***signed by the SECWAR***
  - Issued to Services as direction for Program development
    - Contains threat assessment, strategy, policy, force planning, resource planning, fiscal guidance, etc.
    - Service Secretaries are expected to program within guidance
  - Classified document

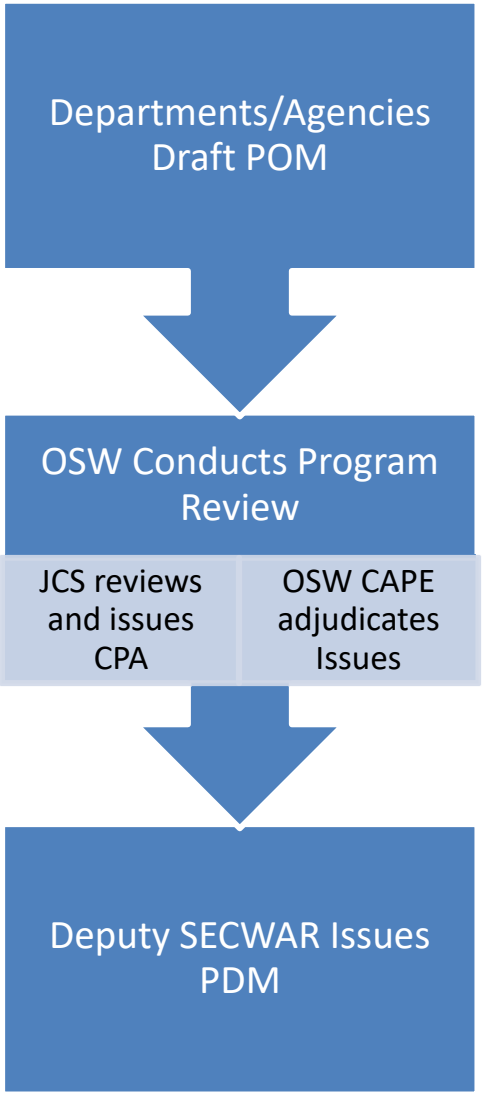
DPG is the end product of the planning phase

Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

Programming Process Overview

- Each department and DoW Agency creates a ***Program Objectives Memorandum (POM), which is a time-phased allocation of resources across all programs within the service/agency***
  - Crafted to comply with strategic and fiscal guidance
  - Covers a period of 5 years, starting with the budget year
- OSD conducts a Program Review to allow SECWAR to make resource decisions and ensure POM is compliant with strategic guidance
  - JCS reviews the POM submissions and CJCS signs out the ***Chairman's Program Assessment (CPA)***, which assesses compliance with strategic guidance
  - OSD Cost Analysis and Program Evaluation (CAPE) reviews for balance, cost effectiveness and value to the warfighter, and manages "issue" resolution (adjudication of tradeoff decisions)
- Deputy SECWAR signs out ***Program Decision Memoranda (PDM)***, which approves POMs as modified by the Program Review

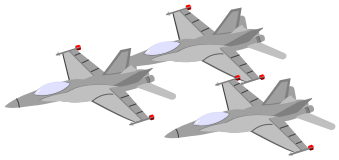


Navy Programming Process

- Top-down fiscal guidance
  - Fiscal controls are imposed by higher echelons on lower echelons
  - OMB -> OSW -> DoN -> OPNAV -> Resource Sponsor -> Program
- Bottom-up POM submissions
  - Units propose and justify the resources necessary to perform their missions
  - PMW 160 -> PAE MS-> OPNAV N2/6 (Resource Sponsor)
  - Proposals across all Resource Sponsors are integrated by OPNAV N8 to create the Navy Tentative-POM
  - DoN integrates Navy and USMC POMs and ***SECNAV signs out the DoN POM***
- Issues
  - As the POM is constructed, proposed changes from previous funding levels are called issues and have a tracking and adjudication process

POM Resources

- Allocation of future resources
  - Buy programs that provide capabilities from planning phase
  - Allocate in each FY over the FYDP
  - Each has an established/approved “price”
- Three types of resources
  - Quantities. Equipment procured during a FY
  - End strength. Manpower planned at the end of a FY
  - Money. For all other programs



Qty	3
$/each	$75,000K
Subtotal	$225,000K



End strength	25
$/each	$120K
Subtotal	$3,000K



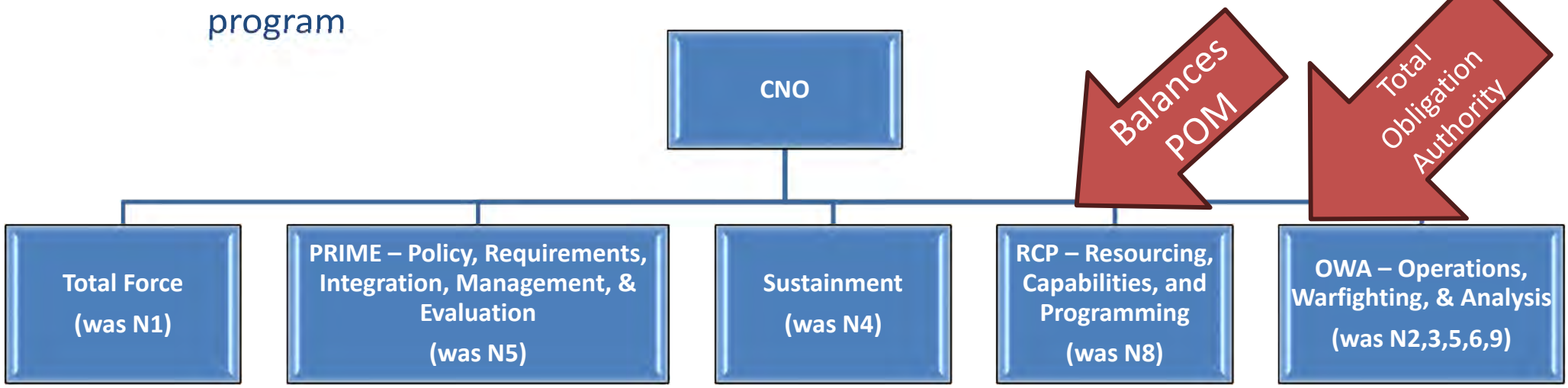
Flt Hours	3,000
$/hour	$5,000
Subtotal	$15,000K

Total F/A-18 Resources (for one FY)

$243,000K

The Navy POM Process: Resource Sponsor

- Resource sponsors are responsible for specified subsets of ***resources constituting certain warfare areas or supporting tasks***
  - Defining, advocating, and defending requirements
  - Translating requirements into program and resource requirements
  - Ensuring an effective and balanced program within assigned fiscal controls
  - Assisting during internal Navy budget reviews in order to maintain a balanced program

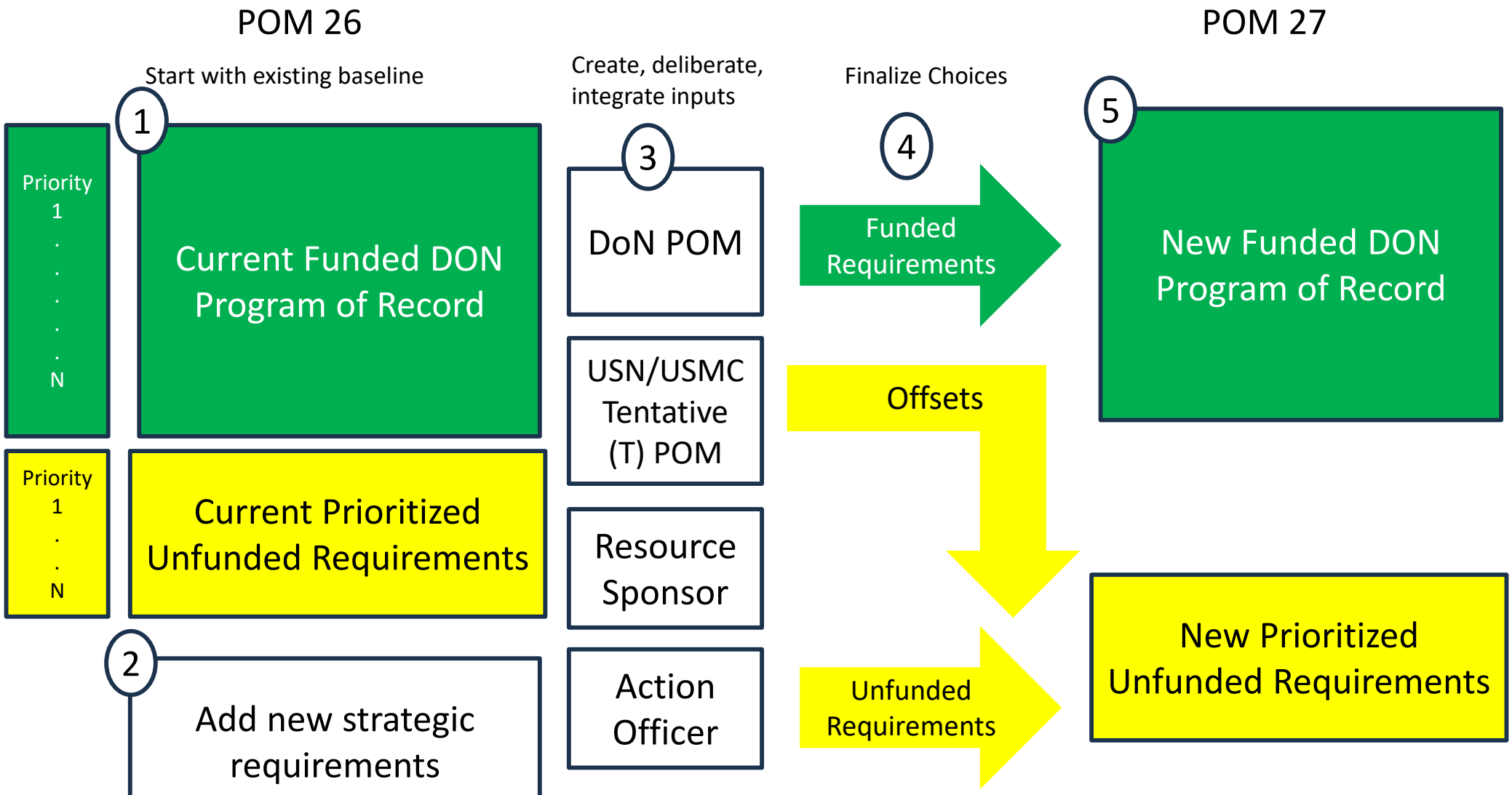


  - RCP leads the process to balance the Navy POM

Resource Sponsor: OWA

- Operations, Warfighting & Analysis (or Operations, Plans & Warfare Integration) integrates operational requirements and warfare systems development, bringing together elements of what was the OPNAV N3/N5 (Operations, Plans, and Strategy), OPNAV N2/N6 (Information Warfare), and OPNAV N9 (Warfare Systems).
- OWA Warfare systems is the advocate for the largest portion of the Navy's Total Obligation Authority (TOA) each year
  - Responsible for determining, integrating, and resourcing expeditionary, surface, undersea, and air warfare requirements and their associated systems, manpower, training, and readiness requirements

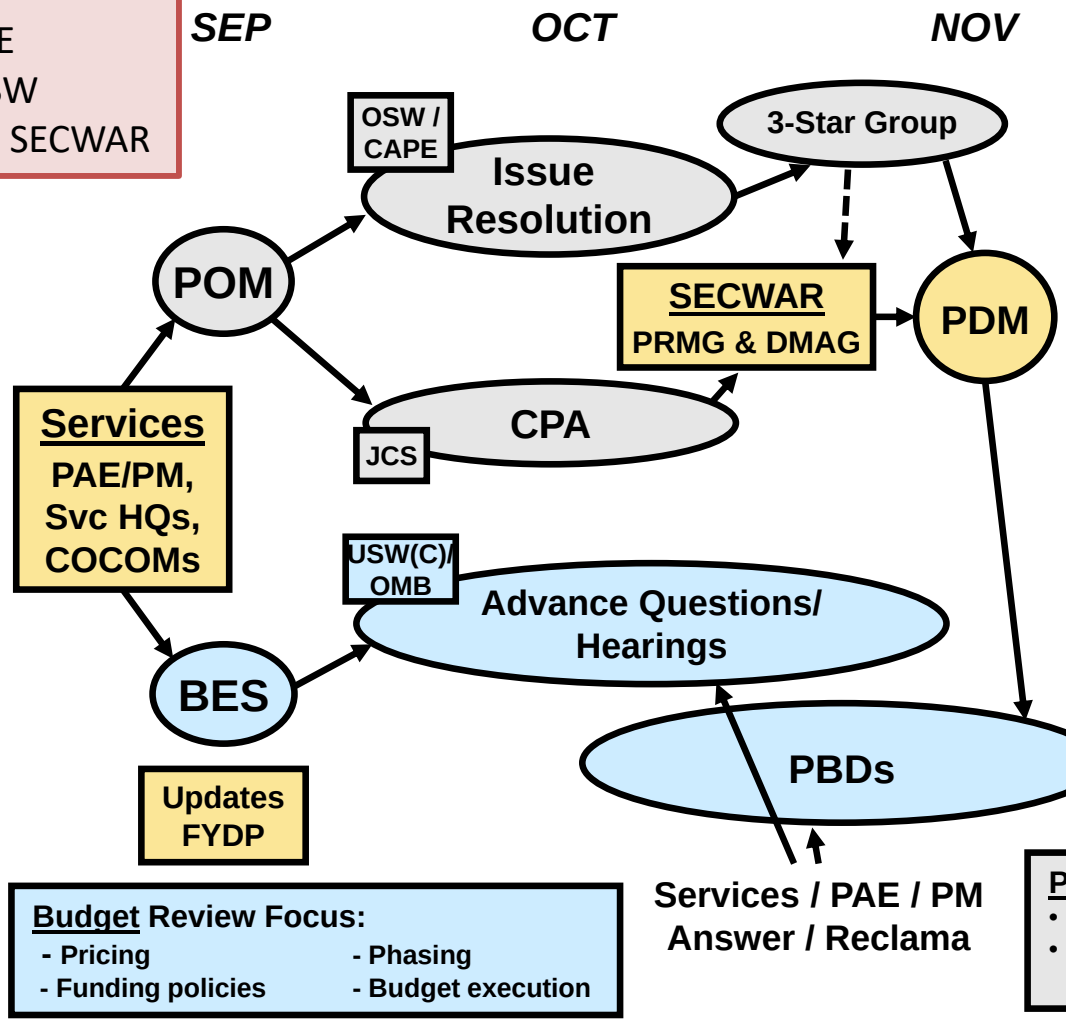
Navy Programming Exercise



OSD Program Review

2025 Version changes
PEO to PAE
OSD to OSW
SECDEF to SECWAR

PPBE - CONCURRENT PROGRAM/BUDGET REVIEW



BES – Budget Estimate Submission
CAPE – Cost Assessment and Program Evaluation
COCOM – Combatant Commander
CPA – Chairman's Program Assessment
DMAG – Deputy's Management Action Group
FYDP – Future Years Defense Program
MBI – Major Budget Issues
OMB – Office of Management and Budget
OSW – Office of the Secretary of War
PB – President's Budget
PBD – Program Budget Decision
PDM – Program Decision Memorandum
POM – Program Objectives Memorandum
PRMG – Program-Resources Management Group
USW(C) – Under Secretary of War (Comptroller)

Programming Phase Key Documents

- POM
  - Services input
    - ***POM is a time-phased resource allocation to support Defense Planning Guidance (DPG)***
  - Issues developed, alternatives formulated and briefed by 3-star group to Senior Leadership Review Group
  - Review POM compliance with DPG and National Military Strategy (NMS)
  - POM signed by each Military Department (***SECNAV for the Navy***)

- PDM
  - SECWAR direction to Services
  - Summarizes all decisions and approves Component POM as modified by OSW Program/Budget Review
  - Decisions incorporated into the budget
  - Ends the programming phase
  - ***Signed by the Deputy SECWAR (delegated)***

Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

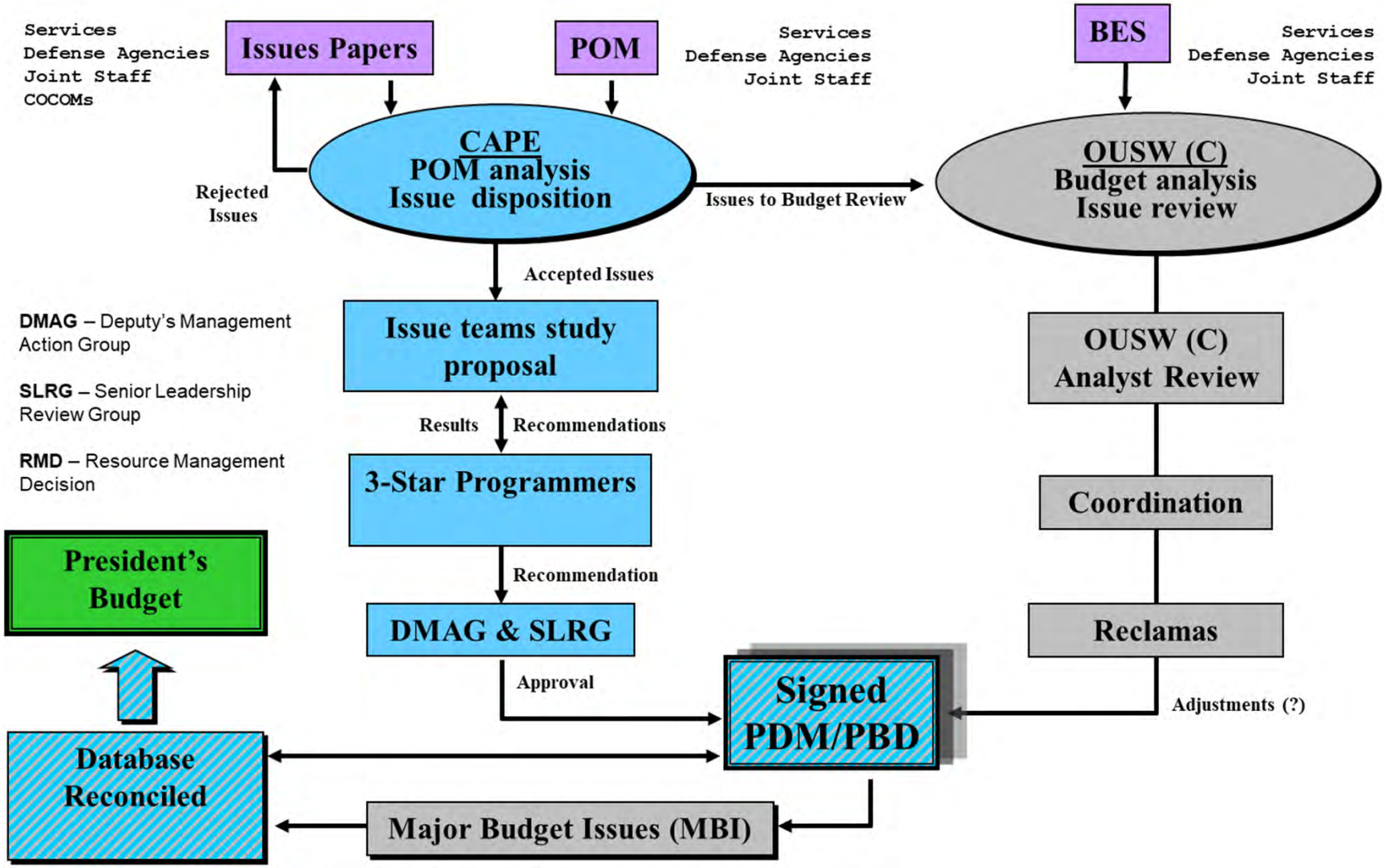
Programming vs Budgeting

- **Programming**
  - Used to achieve balanced allocation of limited resources with respect to risk and strategic priorities ***within DoW***
  - OSW-developed process
  - Process differs greatly between services and agencies
  - Input for budget year plus 4 out years (FYDP)

- **Budgeting**
  - Used to communicate DoN and DoW intent ***outside DoW*** and to provide input to the president's budget
  - Constitutionally-derived process
  - Process is largely the same across services and agencies
  - Input for budget year only (the first year of the 5-year FYDP)

Programming is DoW's internal tradeoff process that supports providing strategically aligned, coherent input to the Government-wide budgeting process

OSW Budget Review



Budgeting Phase Key Events and Documents

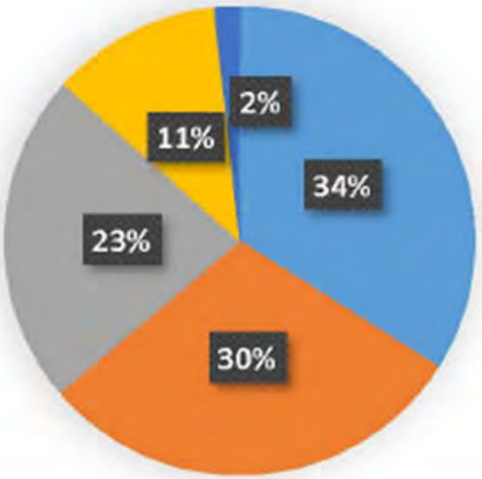
- Budget Estimate Submission (BES)
  - Services provide budgets or Budget Change Proposals to OSW in appropriation format
  - Input prepared by Ech II Budget Submitting Offices (BSOs)… more on this in 3.1.5
  - ***Signed by each Service Secretary (SECNAV for Navy)***
- Budget Hearings
  - Advanced questions to Services on programs
  - Joint OSW and OMB hearings
- Program Budget Decisions (PBDs)
  - Directs adjustment of Service budget
  - Services prepare reclamas
  - ***Signed by Deputy SECWAR (as delegated down by SECWAR)***
- Major Budget Issues (MBI)
  - Last chance for Services to present issues to OSW to affect President's Budget
  - SECWAR decides and submits DoW Budget to OMB
- President's Budget (PB)
  - Nominally, submitted to Congress by first Monday in February

Budgeting Phase Key Events and Documents

- PBD issued by USW(FM&C) analysts after thorough review of POM/BES and questions/answers from the OSW/OMB budget hearings
- PBDs used to adjust the POM/BES and primarily address the budget year
- Draft version PBDs are vetted throughout the OSW staff and Services/Defense Agencies for comment, a.k.a. reclama
  - A reclama (or alternative position) is generated by the affected party and is stated in concrete operational impacts and business case scenarios
  - After consideration, the USW(FM&C) provides a recommendation to the Deputy Secretary of War, who makes the final decision and signs the final PBD

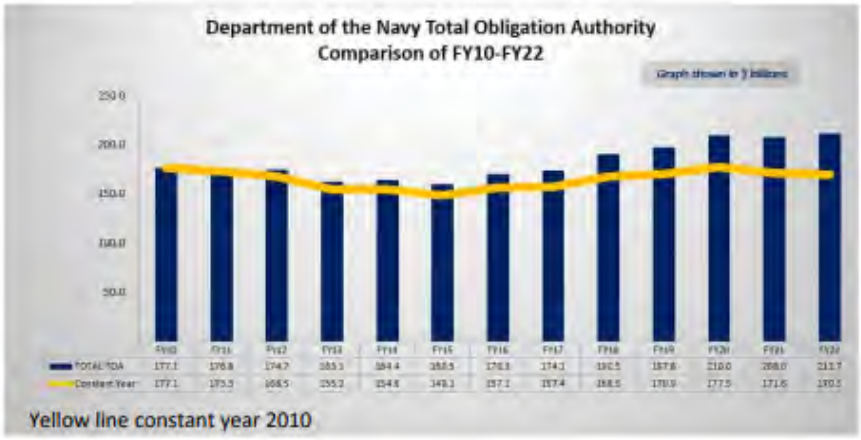
What Do Budgets Look Like

(excerpts from DoN FY22)



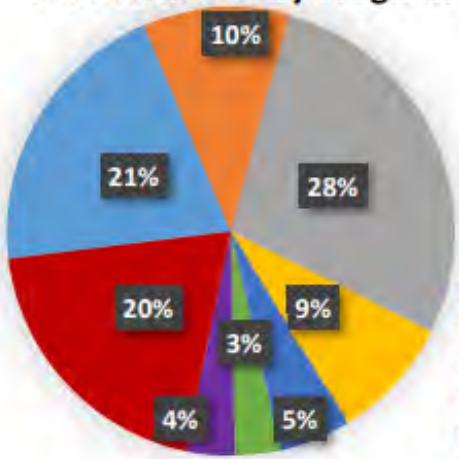
Navy Total FY23
$180.5B

- Operation & Maintenance
- Procurement
- Military Personnel
- Research & Development
- MILCON & Family Housing



Navy Total ($B)	FY22 Enacted	FY23 PB	Delta	% Diff
Operation and Maintenance	59.05	61.41	2.36	4.0%
Procurement	50.98	53.75	2.78	5.4%
Military Personnel	39.96	41.19	1.24	3.1%
Research and Development	19.25	21.02	1.77	9.2%
MILCON & Family Housing	2.87	3.13	0.26	9.1%
Revolving and Management Funds	0.15	-	-0.15	-
Total	**172.26**	**180.51**	**8.25**	**4.8%**

% of Total SCN by Program Type



- Columbia
- Ford Class Carrier
- Virgina
- DDG-51
- FFG-Frigate
- TAO Fleet Oiler
- Remaining BF Ships
- Other Construction

https://www.secnav.navy.mil/fmc/fmb/

Overview

- PPBE Overview
- Future Year Defense Program (FYDP)
- PPBE Phases
  - Planning
  - Programming
  - Budgeting
  - Execution

Execution Phase

- Purpose: assess programs of record against actual performance and adjust program plans and budgets to minimize near-term financial risk
  - Confirm program schedules
  - Adjust financial resources
  - Reset pricing based on actuals
  - Realign excess resources for other priority needs
- Activities
  - Mid-year review
  - Reprogramming
  - Supplemental appropriations
  - Financial closeout
- More in 3.1.4 Budget Execution

Phases of the PPBE Process Review

- **Planning**
  - Identifies capabilities required to deter and defeat threats
  - Defines national defense policies, objectives, and strategies
  - Products are the ***CPR and DPG***

- **Programming**
  - Allocate resources to support Dept of Navy, Army, etc., roles and missions
  - Translates planning decisions into time-phased resource requirements
  - Cost out force objectives for six years
  - Products are the ***POM and PDM***

- **Budgeting**
  - Review is on proper budget justification and execution
  - Products are the ***BES, PBD, and the DoW portion of President's Budget***

- **Execution**
  - Concurrent with program/budget review
  - Develop performance metrics
  - Assess actual output against planned performance
  - Adjust resources to achieve desired performance goals

Summary

- What are the four phases of the DoW financial management process?
- What are the two primary products of the planning phase?
- Who signs the two documents mentioned above?
- What are the building blocks of the FYDP that identify functional or organizational entities and their related resources?

Summary

- This document is the end product of the planning phase and is signed by the SECWAR?

- The POM/BES is signed by …. and the PDM/PBDs are signed by …